



WineMaster.com (A-2):

Confidential Instructions for HomeBase

Overview

You are a member of the business development team at HomeBase.com. You are currently on your way from Boston to Providence to negotiate an acquisition that will strengthen your company's position in the rapidly-changing U.S. on-line wine market. You will be negotiating with the founders and co-owners of WineMaster.com.

Background

HomeBase.com is an on-line food delivery service in the greater Boston area. Customers order food over the Internet, and HomeBase delivers their orders to their homes within 24 hours. Historically, "direct shipment" laws in a majority of U.S. states have prohibited out-of-state producers and retailers from shipping alcoholic beverages directly to in-state consumers.¹ Because HomeBase's delivery operations are not sufficient to constitute a physical presence within the state, HomeBase has been unable to offer wine to its customers.

Recently, a coalition of California winemakers challenged Arizona's direct shipment law in federal court, arguing that the restrictions unduly burden interstate commerce in violation of the U.S. Constitution.² In a 6-3 decision, the U.S. Supreme Court ruled in favor of the winegrowers and struck

¹ Bricks-and-mortar retailers can partially circumvent these restrictions by leveraging their physical presence. Geerlings & Wade, for example, is able to sell wine on-line to customers in the 15 states where it has retail stores, as well as to customers in 12 additional states which have reciprocity agreements. On-line vendors who go further may be doing so illegally. See http://www.wineinstitute.org/shipwine/faq/faq.htm#how_come_my_competition. ("Your competition is shipping direct, and possibly doing so illegally in many cases, because there has been little incentive to comply with the law.").

² The 21st Amendment to the U.S. Constitution, ratified in 1933, ended nationwide Prohibition and granted to the states broad powers to regulate alcohol. However, the so-called "dormant" Commerce Clause prohibits states from impeding interstate commerce. The interplay between these two clauses is an open issue in U.S. constitutional law.

Lecturer Guhan Subramanian prepared this exercise as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation.

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down the Arizona direct shipment law. In response to this ruling, direct shipment laws are gradually coming off the books in other states as well.

HomeBase customer surveys show strong untapped demand for wine. It seems that many HomeBase customers would like nothing more than to develop a complete meal – including wine – without ever having to enter a bricks-and-mortar grocery store or liquor store. Moreover, the HomeBase delivery network provides structural advantages over competitors, such as traditional wineries, which would have to ship their product through the mail. In short, expanding the product line into wine seems to offer an enormous opportunity for HomeBase.

Senior management agrees with this assessment. Just two days after your presentation to the management committee, they authorized your business development team to acquire an on-line wine vendor to “jump start” this strategy. Management strongly prefers an acquisition over a JV so that HomeBase will have sole control to manage and grow the on-line business. An acquisition would give you wine expertise, access to suppliers, and storage and distribution capabilities.

So far you have identified three potential acquisition candidates, all of which are roughly comparable and would therefore put you in the same competitive position. Target A would be the cheapest to acquire – you estimate the cost to you at only \$6.6 million – but you suspect that, for strategic reasons unrelated to price, they may be unwilling to sell. More precisely, you estimate the probability that they will accept your offer at only 25%. Unfortunately, raising your offer will not increase this likelihood. Target B has made you a take-it-or-leave-it offer that would cost you substantially more, around \$10.0 million, but this is a definite offer that you can accept at any time. Like Target A, Target C’s status as a seller is also uncertain, but you estimate that there is a 50% chance that you can acquire it for \$8.0 million (and a 50% chance that it is not for sale). Fortunately, you are confident that none of these offers will “explode,” which means that you can allow each one to play out fully before having to decide on a course of action.

The WineMaster Negotiation

Just a few days ago, an acquaintance of yours at another Internet company in Boston introduced you to one of the founders of WineMaster.com. Your research staff informed you that WineMaster has been a successful on-line vendor of mid-priced European and Californian wines for the past three years. Based in Rhode Island, WineMaster currently serves customers only in that state, using a small liquor store outside Providence to provide the physical presence required by direct shipment laws. Subsequent due diligence revealed that WineMaster is very similar to the three companies that you are considering buying. With the founders interested in selling, you wonder if WineMaster might provide an opportunity for you to strike a better deal.

Since the initial introduction, your team has developed a strong working relationship with the three WineMaster founders, although you get a strong sense that others are looking at WineMaster as well. Senior management has given your team complete authority to negotiate with WineMaster, and even strike a deal if possible. In addition to buying the company, senior management wants you to negotiate an employment package for the WineMaster team. Clearly the on-line wine operation has a greater chance of success if they come with the company. You’ve offered them very attractive (and equal) employment packages, conditional on the sale of the company. They seem comfortable with your offer, which leaves four issues for you to resolve in your meeting today:

- 1) How much stock: The first issue is how many shares of HomeBase stock you will exchange for WineMaster. In structuring the deal, the WineMaster team seems very interested in pursuing a pure stock-for-stock transaction, most likely because the deal then becomes tax-free to them. This is good news for you as well, since you can use your high-octane HomeBase stock rather than

having to part with precious cash. HomeBase is traded on the Nasdaq exchange, has 4.5 million shares outstanding, and has an additional 0.5 million “authorized but unissued” shares that you could use to consummate this transaction without having to go to your shareholders for approval. A more difficult question is the inherent value of the shares. **Exhibit 1** graphs the historical performance of HomeBase, which shows that the stock has meandered around \$50 per share for the past few months (underperforming the Nasdaq during this period). On one hand you believe that all Internet companies are slightly overvalued in the current market, and you think that HomeBase is no exception (though clearly you would never express this opinion publicly). On the other hand you believe that HomeBase has a compelling business proposition and might be hitting its stride within the next year, in ways that the marketplace does not yet realize. On balance you believe that \$50 per share seems about right for HomeBase going into the foreseeable future.

What’s even less clear is the value of WineMaster. Cash flow analysis is out of the question since any projections beyond six months are speculative to the point of being meaningless. From your other acquisitions you know that typical benchmarks to use in assessing comparable transactions are market-value-to-revenues and market-value-to-buying-customers. The benchmark numbers for some recent comparable transactions are given in **Exhibit 2**. These transactions are all-stock deals, though you’re not sure how the shares were vested in each deal (see #2 below).

- 2) **Vesting period:** Another important issue is the vesting period for the HomeBase stock that you give.³ You think that it will take roughly two years to get the on-line project successfully underway. In order to give the WineMaster team the financial incentive to stay at HomeBase during this critical phase, you would like to make their stock vest over one or two years. During the vesting period HomeBase could only fire the WineMaster team “for cause,” using a good faith standard, and in that (highly unlikely) scenario they would not receive their unvested shares. Of course, the WineMaster team would also forfeit any unvested shares if they left HomeBase voluntarily. Acquisition of HomeBase by another company would accelerate all vesting to the date of the acquisition.

Preliminary negotiations have identified three (and only three) possibilities for vesting: all shares vested immediately; pro rata “cliff” vesting (i.e., 1/3 immediately, 1/3 at the end of the first year, and 1/3 at the end of the second year); and all shares vested at the end of the second year. For accounting purposes, and to provide a quick rule of thumb in the negotiations, your team has calculated that shares that vest pro rata “cost” 81% as much as shares that vest immediately, and shares that vest all at the end of the second year cost 64% as much as shares that vest immediately. Put another way, slow-vesting shares cost you less to give because of the offsetting “golden handcuff” benefits that they provide. Note that these are “all-in” calculations, meaning that they include the WineMaster team’s net contribution to HomeBase after salary and bonus (i.e., their “sweat equity”), the probability that they will leave early (either willingly or unwillingly) and not receive the unvested shares, and the likelihood of a HomeBase acquisition.

- 3) **Board seat:** The third issue to resolve is whether the WineMaster team will get a board seat. Currently the board has seven members, four of whom are “insiders.” On one hand, if the WineMaster director turned out to be disruptive, the board would be divided evenly 4-4. On the other hand, you (and senior management) are relatively confident that the key committees will continue to be controlled by directors who support management’s policies, even if the WineMaster director were to be disruptive. On balance, giving them a board seat will cost you

³ Stock “vests” when the recipient receives title to the shares. “Time vesting shares” vest solely on the basis of the employee’s continued employment. “Performance vesting shares” vest based upon the company’s performance during the employee’s continued employment. In this exercise the sole negotiation issue is the number of time vesting shares, i.e., performance vesting is not a possibility.

\$350,000 in present value. This calculation includes the present value of the additional director's fees for the new board member.

- 4) Lawsuit: This morning – just as you were leaving the office for Providence – you received an e-mail from the WineMaster team that raises another issue in your negotiation. It seems that one of their customers in Newport got seriously ill from drinking wine that she bought from the company. She has brought a lawsuit seeking \$1.0 million in damages. Unfortunately, attempts at settlement proved to be in vain. The case was tried in a local court and WineMaster is now awaiting judgment.

In the car ride down to Providence, your team discussed the matter with the HomeBase general counsel back in Boston. He researched the relevant legal issues and came back to you with four conclusions. First, the default rule is that the potential liability will get transferred to HomeBase if it acquires WineMaster. Second, he estimates that there is a 60% chance that the case will succeed. Third, and more encouragingly, your general counsel believes that the damages being sought are far beyond anything that a Rhode Island court would be likely to approve. Therefore, if the lawsuit is successful, he estimates a 95% probability that the award will be reduced to \$500,000, and only a 5% chance that the full \$1.0 million will be awarded. Finally, and most encouragingly, it is possible to structure the deal in a way that leaves the potential liability with the WineMaster founders personally. He strongly recommends that you push for this outcome, or at least an outcome that leaves a significant chunk of the potential liability with them.

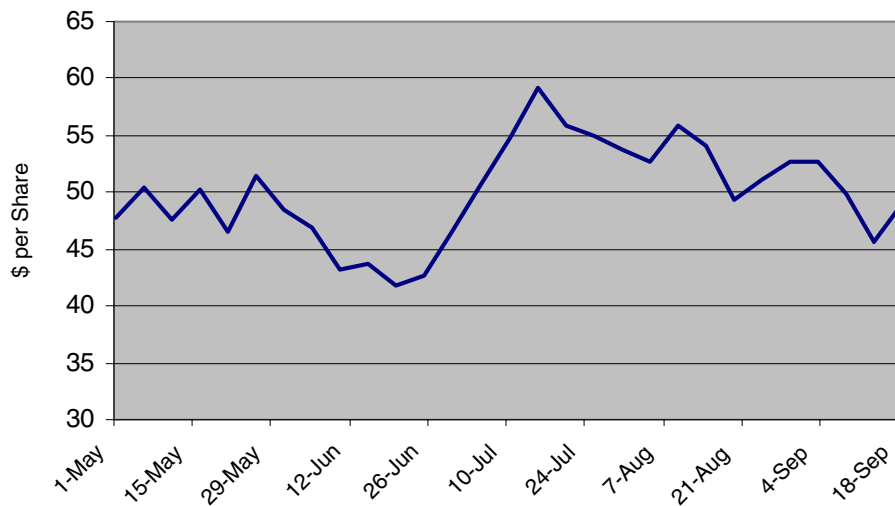
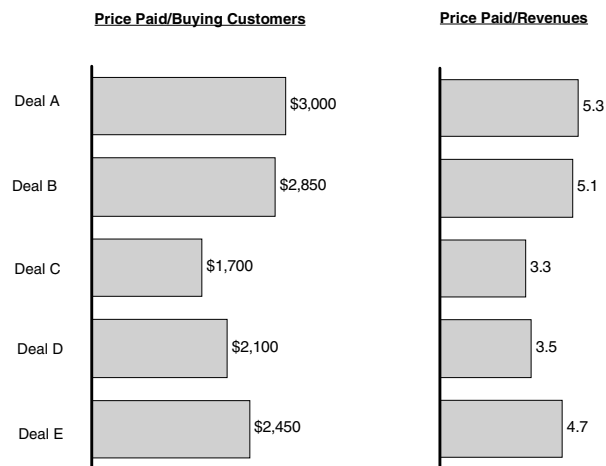
The present value of any deal that you strike will be reduced by the risk-neutral expected cost of the lawsuit to you.⁴ For example, a deal that leaves the liability entirely with HomeBase would reduce the present value of your deal by \$315,000 ($= 60\% \times [\$500,000 \times 95\% + \$1,000,000 \times 5\%]$).⁵

Your Assignment

You've just crossed in to Rhode Island on I-95; apparently it's another twenty minutes to the WineMaster offices near Providence. You get the sense that the WineMaster team wants to close this deal soon. In fact, if you fail to close the deal in your negotiation today, you think there is a good chance that they will look elsewhere and possibly lose interest. Along with the rest of your business development team, carefully craft your negotiation strategy and a plan for implementing it. Use your best judgment in structuring an agreement, but act in accordance with the facts and instructions that you have been given here.

⁴ For amounts of this magnitude, HomeBase corporate policy is to calculate expected values as a risk-neutral actor.

⁵ Of course, if HomeBase takes ownership of the lawsuit the WineMaster team will still (indirectly) own a piece of it by owning HomeBase stock. However, because HomeBase has 4.5 million shares already outstanding, their stake in HomeBase will be small enough to make this transfer back to them almost negligible. For simplicity you should ignore this indirect benefit in calculating the expected value of the lawsuit to HomeBase.

Exhibit 1: HomeBase Historical Share Price -- May through September**Exhibit 2: Multiples in Comparable Transactions (post-deregulation)**

Note: WineMaster has approximately 4000 buying customers and \$2.1 million in revenues over the past twelve months.

ACQUISITION COST CALCULATION WORKSHEET

Calculation		Cost of Your Deal
Number of Shares	x \$50 per share	= _____
x Vesting Discount	☐ Immediately (1.00) ☐ Pro rata (0.81) ☐ At end of second year (0.64)	x _____
= Present Value of Shares		= _____
+ Cost of Board Seat	☐ Board seat given (\$350,000) ☐ No board seat given (\$0)	+ _____
+ Cost of Liability	☐ Liability remains with WineMaster partners (\$0) ☐ Liability goes to HomeBase (\$315,000) ☐ Other (calculate expected value to you)	+ _____
= TOTAL COST OF ACQUISITION		= _____